

IWM RUSSELL 2000 SCANNER

SCAN (14:39 ET)

September 02, 2026 | 02:41 PM ET

3 setups identified | 0 A-Grade | 2 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (1)
	CWT	TXNM
	TARS	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	CWT	California Water	Utilities / Water	\$50.21	+0.9%	\$3.1B	61M	+10.4	93%	Breaking out of a text
B	TARS	Tarsus Pharmaceu	Biotech / Ophthal	\$81.95	+10.7%	\$3.6B	33M	+34.5	96%	10.67% surge today lik
C	TXNM	TXNM Energy, Inc	Utilities / Defen	\$58.10	+0.4%	\$6.0B	80M	-2.6	98%	

SETUP METRICS	
Price	\$50.21
Day Change	+0.94%
Mkt Cap	\$3.10B
Float	61M sh
RS vs SPY	+10.4%
52W Hi Prox	93%
Base Tight	1.5
Vol vs Avg	2.98x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out of a textbook VCP coil (base_tight 1.5) on volume surge, likely driven by sector rotation into defensive utilities amid mixed macro. Forward catalyst: Q3 earnings October 29 and potential rate case approvals in California regulatory calendar over the next quarter, which historically drive re-ratings in regulated water utilities.
BUSINESS & POSITION
California Water Service Group is a regulated water utility serving approximately 2 million people across California, Washington, New Mexico, and Hawaii. As a rate-regulated monopoly with predictable cash flows and essential-service status, it benefits from infrastructure investment tailwinds and drought-driven water scarcity pricing power in the Western U.S.
FACTOR & THEME
Taps the water infrastructure and climate adaptation theme-water scarcity in the West is a secular tailwind driving capex and rate-base growth. Defensive positioning in a mixed macro regime also supports incremental rotation from growth into utilities, though momentum is modest compared to Energy/Healthcare leaders this week.
BREAKOUT SIGNAL
Close above \$50.21 on volume >2.9x of 20-day average
INSTITUTIONAL
Volume spike to 2.98x on a relatively narrow 0.94% gain suggests institutional accumulation rather than retail chase-classic absorption pattern. Float of 61.3M and \$3.1B market cap puts this in the sweet spot for regional utility-focused funds. No insider activity in the last 90 days, which is typical for utilities where insiders are restricted and ownership is heavily institutional by design.
EARNINGS
EARNINGS IN 57D
EARNINGS CONTEXT
Next earnings October 29. Regulated utilities typically have low earnings volatility; consensus and beat/miss history not material to the thesis-guidance on rate cases and capex spend matter more. Historical pattern: steady 2-3% annual EPS growth with quarterly fluctuations driven by weather and regulatory lag.
KEY RISK
Thesis invalidated on a close back below the \$48.50 pivot (approximate base floor), or on any adverse California Public Utilities Commission rate decision that cuts allowed returns. Mixed macro regime limits upside-if market shifts decisively risk-off, defensive premium may cap near \$53-54.
ANALYSIS
Textbook VCP coil (base_tight 1.5) with strong volume and proximity to 52W high, but RS line NOT at new high and rsVsSpy at only +10.4 misses the +15-20 threshold for institutional leadership confirmation. Strongest disconfirming evidence: stock is in Utilities, a lagging defensive sector (+2.2% vs SPY this week is weak compared to Energy +12.5% and Healthcare +5.7%), and the mixed macro regime argues for reduced conviction in all breakouts. This is a solid technical setup in a defensive name, but incremental-buyer fuel is limited without a decisive risk-off catalyst that would drive real rotation into utilities. Conviction: Medium.
Signal: Close above \$50.21 on volume >2.9x of 20-day average
Vol vs Avg: 2.98x



TARS

Tarsus Pharmaceuticals, Inc.

\$81.95

+10.67%

RS vs SPY: +34.5%

B STRONG SETUP

\$3.6B Cap | 33M Float

Biotechnology | Theme: Biotech / Ophthalmology | 52W Hi: 96% | Base Tight: 3.52 | Vol: 1.82x | RS/SPY: +34.5% | Above 20MA: YES | EARNINGS IN 63D

Setup Metrics	
Price	\$81.95
Day Change	+10.67%
Mkt Cap	\$3.60B
Float	33M sh
RS vs SPY	+34.5%
52W Hi Prox	96%
Base Tight	3.52
Vol vs Avg	1.82x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis

Catalyst / Today's Driver

10.67% surge today likely driven by institutional accumulation ahead of potential commercial inflection for XDEMVY (FDA-approved treatment for Demodex blepharitis), possibly triggered by a KOL presentation, payer coverage expansion, or sell-side upgrade. Forward catalyst: Q3 earnings November 4 will provide updated prescription trends and commercial traction data; any ahead-of-consensus revenue print or raised guidance could re-rate the stock materially given the early-launch phase.

Business & Position

Tarsus Pharmaceuticals is a commercial-stage biotech focused on eye care, with its lead product XDEMVY (lotilaner ophthalmic solution) approved for Demodex blepharitis-a large unmet need affecting ~25 million Americans. The company is in the critical early commercialization phase where prescription uptake and payer reimbursement expansion will determine its trajectory from niche to category leader.

Factor & Theme

Taps the biotech theme, which is accelerating this week (Healthcare +5.7% vs SPY). Specialty pharma with a differentiated, first-in-class mechanism in a large addressable market benefits from institutional rotation into high-growth healthcare names. Secular tailwind: aging population and increased eye-care utilization post-COVID.

Breakout Signal

Close above \$81.95 on volume >1.8x of 20-day average

Institutional

Volume at 1.82x is elevated but not explosive-suggests measured accumulation rather than a squeeze or retail FOMO. Float of 32.7M and \$3.6B market cap positions this well for biotech-focused growth funds. No insider activity in the last 90 days, which is neutral for a commercial-stage biotech (insiders are often restricted around data readouts and earnings). The +34.5 rsVsSpy is a strong leadership signal, indicating smart money is already positioned ahead of the November 4 earnings catalyst.

Earnings

Earnings in 63D

Earnings Context

Next earnings November 4. Consensus will focus on XDEMVY revenue ramp (likely \$20-30M for Q3 given early-stage launch dynamics) and any update to full-year guidance. As a newly commercial company, beat/miss history is thin-prior quarters showed R&D spend and pre-launch expenses. First true commercial quarters are the ones that matter; a beat here with raised FY guidance would confirm the launch thesis and likely drive significant re-rating.

Key Risk

Thesis invalidated on a close back below the \$75 level (approximate base support), or on any Q3 earnings miss / lowered guidance at the November 4 print that signals slower-than-expected XDEMVY uptake. Single-product risk is acute-any safety signal, competitive entry, or payer pushback would be catastrophic. Base is wide (base_tight 3.52), so this is not a low-volatility setup; a failed breakout could retrace quickly.

Analysis

Strong RS (+34.5 vs SPY) and proximity to 52W high (96.1) in a leading sector (Healthcare +5.7% this week) argue for institutional conviction, and the November 4 earnings catalyst is a clear forward event with high re-rating potential. However, RS line is NOT at new high, volume is only 1.82x (not the >2x threshold for A-grade institutional confirmation), and the base is wide (3.52 vs <2.0 ideal)-this is a momentum follow-through, not a textbook breakout from consolidation. Strongest disconfirming evidence: mixed macro regime reduces edge on all breakouts, and single-product biotech carries binary risk that doesn't fit a risk-off environment. The 10.67% move today may have front-run the November catalyst, leaving limited incremental-buyer fuel if the print is merely in-line. Conviction: Medium.

Signal: Close above \$81.95 on volume >1.8x of 20-day average

Vol vs Avg: 1.82x

